

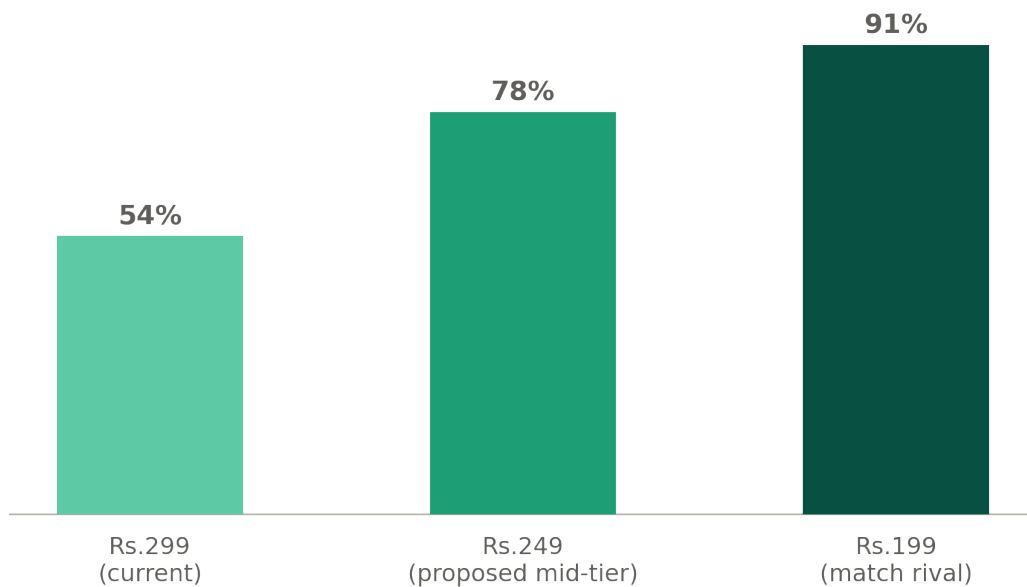
Orbit Mobile case, solved

Sales & Marketing case study | Framework: Pricing models + 4A

The framework, in plain words

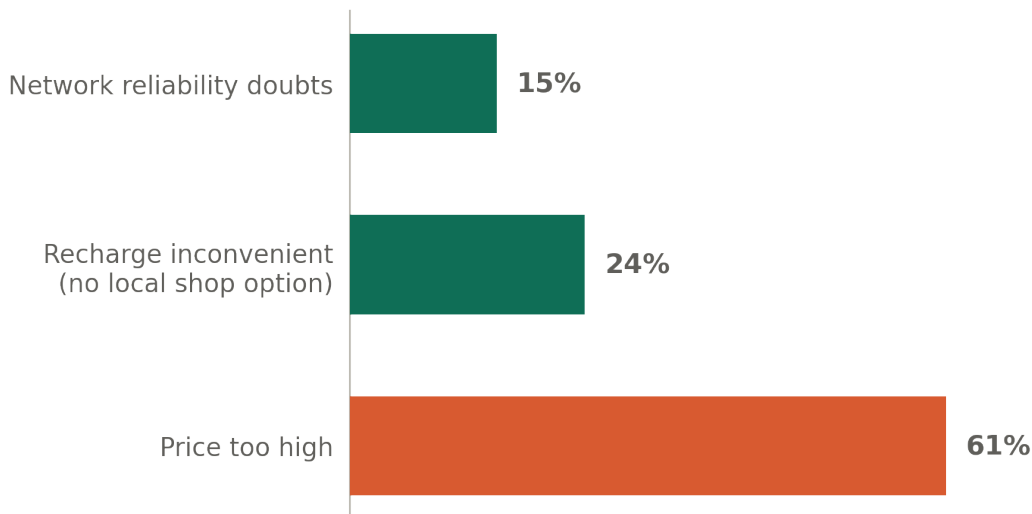
There are a few ways to set a price: match what rivals charge, add a margin on top of cost, or price based on what the plan is worth to the customer, sometimes with more than one tier for different budgets. The 4A framework then checks if people actually buy and stay, using four questions: do they know about it (Awareness), can they easily get it (Availability), can they afford it (Affordability), and do they trust and like using it (Acceptability). Price is only one of those four levers.

What customers say they'd pay



Cutting to Rs.199 buys the highest retention, 91%, but so would a Rs.249 mid-tier plan at 78%, for a much smaller discount. The jump from Rs.299 to Rs.249 recovers most of the lost customers already.

Why customers are really leaving



Price explains 61% of the churn, not all of it. Almost 4 in 10 leaving customers are leaving over recharge access or trust in the network, two problems a price cut does not fix at all.

The 4A check on Orbit

Affordability

MAIN DRIVER

The Rs.100 gap to the rival explains 61% of churn. Real, but the most expensive lever to pull.

Availability

REAL, UNDERRATED

24% leave because recharge needs the app, with no local shop cash option many rural users prefer.

Acceptability

EMERGING RISK

15% doubt network reliability. Small today, but a trust problem money alone will not fix.

Awareness

NOT TESTED

The survey never asked if customers know about fixes Orbit already makes. A blind spot worth checking.

Price is real, but it is only one of four reasons people leave. Two of the other three are cheaper to fix than a blanket price cut.

Q1. Match, mid-tier, or hold firm?

Introduce the Rs.249 mid-tier plan. It keeps 78% of customers, almost matching the 91% retention of a full price match, at a fraction of the revenue given up. Matching Rs.199 for everyone hands away Rs.40 crore a year to win back customers a smaller discount already keeps.

Q2. Is price really the reason?

Mostly, but not only. Price accounts for 61% of stated churn reasons. The remaining 39% is about getting the recharge into local shops and making the network feel dependable, neither of which a price cut touches.

Q3. What protects both revenue and share?

Launch the Rs.249 mid-tier plan for price-sensitive segments only, students and small towns, while keeping working professionals on Rs.299 since they are not leaving over price. Alongside that, get the recharge into local shops to fix the 24% who cannot easily pay, and run a visible reliability push, network coverage maps, uptime messaging, to calm the 15% who doubt the network. Price is one lever pulled a little; access and trust are two more pulled at almost no cost to revenue.

The one-line takeaway

Do not fight a price war with a price cut. Fix the cheaper problems first, and only discount as far as the data says you need to.